

Quarterly Investment Report

Q3 2021 - Thames Water UPS (Closed Section)

Portfolio Summary

Asset Class	Allocation	Performance (Q)	12m Performance
LDI	58.0%	+2.01%	-3.90%
Credit	21.9%	+0.69%	-1.27%
Equities	10.4%	+0.08%	+5.05%
Property	6.9%	+1.86%	+0.86%
Cash	8.3%	+1.11%	+2.84%

Market Commentary

During Q3 2021, gilt yields moved by approximately -44bp across the curve. The scheme's LDI programme continued to deliver its hedging objective with a tracking error within the agreed tolerance band.

The Investment Manager has maintained a neutral positioning against the benchmark, with a modest overweight to investment-grade credit reflecting attractive spread levels.

Compliance with SIP

All allocations remained within the tolerance bands specified in the Statement of Investment Principles throughout the quarter.